Markets are overreading the backlash against data centers

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summary

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Democratic-led US states will most likely condition, not outright ban, data center development.
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Despite missing its November gas storage target, the EU will likely avoid winter rationing.
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Turkey’s best shot at sanctions relief would be executive action from President Donald Trump, but it is unlikely.
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A lack of alternatives makes Chuck Schumer (D-NY) the most likely next US Senate majority leader.
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Countries and sectors in this edition of the Daily Brief include the US, Colombia, the EU, Turkey, and energy.

the top line

US—States will condition, not ban, data centers after midterm backlash

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Markets are overreading Democrats’ opposition to data centers following the midterms; most state-level elected officials are focused on conditioning the development rather than halting it, leading us to raise the odds that states will impose conditions in 2027 (85% odds, up from 55%) without fundamentally changing the buildout’s trajectory.
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Texas is the key state to watch in early 2027, with Governor-elect Gina Hinojosa likely seeking to extend the current interconnection pause while working with lawmakers during the 2027 legislative session to enact new conditions, which could provide the basis of a nationwide model.
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Conditions and restrictions will occur across five key policy areas: environmental, ratepayer protection, tax incentives, labor and wage standards, and local vetoes, with environmental standards and local

vetoes likely to have the biggest impact on the buildout’s progress.

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Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

EU, Energy—EU likely to avoid winter gas rationing despite high prices

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Despite missing its November storage target, the EU will likely avoid winter gas rationing, with 75% odds that supplies will suffice despite prices of €70–€100 per megawatt-hour (MWh) in December and January.

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A renewed US-Iran war escalation (now 30% odds, down from 60%) and a severe cold spell could force rationing in several EU countries and push prices above €120 per MWh.

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State-backed incentives, LNG imports, and lower demand should avert shortages, but very low spring storage levels will make refilling difficult in 2027.

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Read more here . Reach out to discuss: ecr@eurasiagroup.net .

Chart of the day—European gas prices remain high

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Reach out to discuss: geoeconomics@eurasiagroup.net .

Turkey—Best chance for sanctions relief ends with Trump’s term

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Trump can lift sanctions on US arms sales to Turkey through executive authority, but such a move is unlikely and would not be sufficient to guarantee Turkey's acquisition of F-35 fighter jets.

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US law would require Ankara to undertake the tremendously costly removal of its Russian S-400 air defense systems before F-35 transfers could proceed, making sanctions relief an incomplete victory, though probably the best outcome Turkey can achieve in the coming years.

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Turkey will likely have no better chance at sanctions relief than during what remains of Trump’s term, as potential successors on both sides of the aisle, as well as interest groups in Washington, will pose greater resistance once he is out of office.

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Read more here . Reach out to discuss: turkey@eurasiagroup.net .

upcoming conference calls

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12 November 10:00 AM ET—Mexico update. Register here .

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17 November 10:00 AM ET—Cameroon: Navigating political and economic crossroads. Register here .

eg in brief

US—Lack of an alternative makes Schumer likely leader: Senate Minority Leader Chuck Schumer (D-NY) is facing strident criticism from both sides of the Democratic Party. Schumer's position as the probable majority leader is still very likely safe, even if he won't get the unanimous support he had had in his previous leadership elections. Schumer can rightly claim that his candidate selections in key races made the difference, benefiting him in intra-caucus relations. Progressives have suggested Senator Chris Van Hollen (D-MD) as an alternative, but it's hard to see how he would have the support of moderates. Once elected as the incoming majority leader, Schumer will likely continue to face criticism, especially from progressives, but Democrats' five-seat cushion will give him the ability to isolate progressives when necessary. Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Colombia—Outlook for an IMF program is favorable: Bloomberg reported that Colombia is seeking a $15 billion Stand-By Arrangement and intends to draw on the facility rather than treat it as precautionary. The outlook for such an arrangement is positive because President Abelardo De la Espriella's administration is showing commitment to fiscal adjustment through an ambitious bill, and the US appears willing to support the effort. Beyond IMF financing, an agreement would also help unlock support from other multilateral lenders. The administration says the fiscal bill would improve the primary balance by 2.4% of GDP next year, rising to 4.1% of GDP by 2030. Without those measures, it projects a fiscal deficit of 9.4% of GDP and a primary deficit of 4.5% of GDP in 2027. The main threat to fiscal adjustment would likely come from a drop in De la Espriella's approval ratings or from large protests. Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

Upcoming events:

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12 November: Data: Argentina, Brazil, and India CPI, Japan PPI, UK GDP, and US federal budget balance; Central bank decisions: Peru, Romania, Serbia, and Uganda.
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13 November: Data: Eurozone GDP, France, Poland, Russia, and Spain CPI, and US PPI.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, with the help of Blaise Hanson, Luisa Moreira, and Marianne Moreira.

We love feedback! Send us a note at DailyBrief@eurasiagroup.net .

closing quip

"Data centers in space looking pretty appealing right now."—Elon Musk posted on X on 4 November, right after the Democrats' midterms sweep.

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